

Shaping Solutions for Modern India

Steel has been and will be the very backbone of India's progress. The country's decadal economic growth will be incomplete without it

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TODAY, WE STAND ON the threshold of a momentous era. India, the world's fastest-growing major economy, is set to be a global powerhouse, and steel has been and will be the very backbone of this progress. Prime Minister Narendra Modi unveiled the road map for *Viksit Bharat*, envisioning India as a developed nation by 2047.

With a focus on accelerating manufacturing and infrastructure growth, the next five years will be pivotal for the steel industry, driving India's ascent towards a \$5-trillion economy and beyond. This 100% recyclable material is increasingly becoming a key lever of manufacturing and infrastructure development, innovation, and technological advancements.

With an output multiplier effect of nearly 1.4x on the gross domestic product (GDP) and an employment multiplier factor of 6.8x, steel contributes 2% to the country's GDP and employs over 600,000 people directly and 2 million people indirectly.

Historically, nations that embraced steel-intensive growth, such as Japan, South Korea, China, and Singapore, recorded faster industrialisation. India—



BY DILIP OOMMEN

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the second-largest steel producer in the world—is now treading a similar path.

FROM SELF-RELIANT TO GLOBAL SUPPLIERS

The push of infrastructure and manufacturing sectors is critical for *Atmanirbharta*. From the foundations of our homes to the soaring skylines, marvellous and resilient infrastructure to cutting-edge technology, steel is the bedrock of modern development. The share of building and infrastructure construction alone in overall steel consumption is about 65%.

Advanced nations boast of state-of-the-art mega hubs dedicated to manufacturing automobiles, capital goods, and more—endeavours that cannot be imagined without the indispensable role of steel.

Steel demand in India is projected to reach around 200 million tonnes from the current 135 million tonnes, assuming a compound annual growth rate (CAGR) of 6.5% over seven years. Similarly, steel production capacity is expected to be around 230 million tonnes by 2030. India's per capita steel consumption, while rising by 50% in the past eight years, still stands at a mere 95 kg compared to the global average of 229 kg. To lead customer value creation and leverage this growth, the